Pre-Dispatch Reverse Logistics Hazard & Risk Mitigation: A Dual-Stage Machine Learning and Cox Survival Analysis Framework

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Abstract—Product returns in e-commerce—intensified by consumer habits such as size and color 'bracketing'—impose severe financial, operational, and environmental strains on modern retail supply chains, exceeding $800 billion globally. Conventional reverse logistics systems operate reactively after return initiation, incurring irreversible multi-leg transportation overheads, restocking delays, and inventory markdown penalties. In this paper, we propose a novel, unified pre-dispatch decision architecture that couples an XGBoost gradient-boosted classification model with a semi-parametric Cox Proportional Hazards survival analysis engine. Using high-volume transactional feature engineering incorporating multi-SKU bracketing heuristics, historical customer return rates, item price volatility, and geographic routing distance, the classification stage predicts order-level return probability with an AUC-ROC of 0.8420. Simultaneously, the survival engine models the longitudinal return hazard over a 30-day post-delivery horizon (Concordance Index = 0.7810), providing granular visibility into time-to-event dynamics. We further formulate an Economic Surplus Policy Optimization model that maps predicted hazards directly to margin-preserving logistics actions, including dynamic retention vouchers, automated digital size-exchange prompts, and low-cost regional reverse routing. Simulation demonstrates an 18.4% reduction in reverse transit expenditures while safeguarding net gross margins. The system is containerized as an ultra-low-latency RESTful microservice deployed alongside an interactive analytics dashboard.

Index Terms—Reverse Logistics, E-Commerce Returns, Bracketing Behavior, XGBoost, Cox Proportional Hazards, Survival Analysis, Big Data Analytics, Supply Chain Optimization.

I. INTRODUCTION

The meteoric expansion of global electronic commerce has revolutionized consumer procurement convenience, yet it has simultaneously triggered an operational crisis across enterprise supply chains: the reverse logistics burden. Industry estimates indicate that consumer return rates for brick-and-mortar retail average between 8% and 10%, whereas online retail return rates routinely reach 20% to 30%, escalating beyond 40% in volatile categories such as fast-fashion and footwear [1]. Merchandise returns cost retailers more than $816 billion annually in the United States alone [2], while reverse transport generates 16 million metric tons of CO2 [3].

A principal behavioral catalyst of excessive apparel returns is consumer 'bracketing'—the premeditated practice of purchasing multiple sizes, colors, or variations of the exact same product with the explicit intention of retaining the best fit and returning the remainder [4]. While bracketing replicates the physical dressing room experience for online shoppers, it imposes massive asymmetrical burdens on retailers: two-way shipping costs, detailed inspection procedures, dry cleaning, re-tagging, and severe margin degradation caused by the seasonal depreciation of goods sitting in return transit.

Historically, academic literature and industrial practice have treated return management as a reactive downstream problem [5]. Interventions typically begin only after the consumer drops the parcel off at a carrier kiosk. Consequently, opportunities to mitigate logistical friction or prevent the return entirely before departure are forfeited. Fig. 1 illustrates our proposed pre-dispatch architecture.

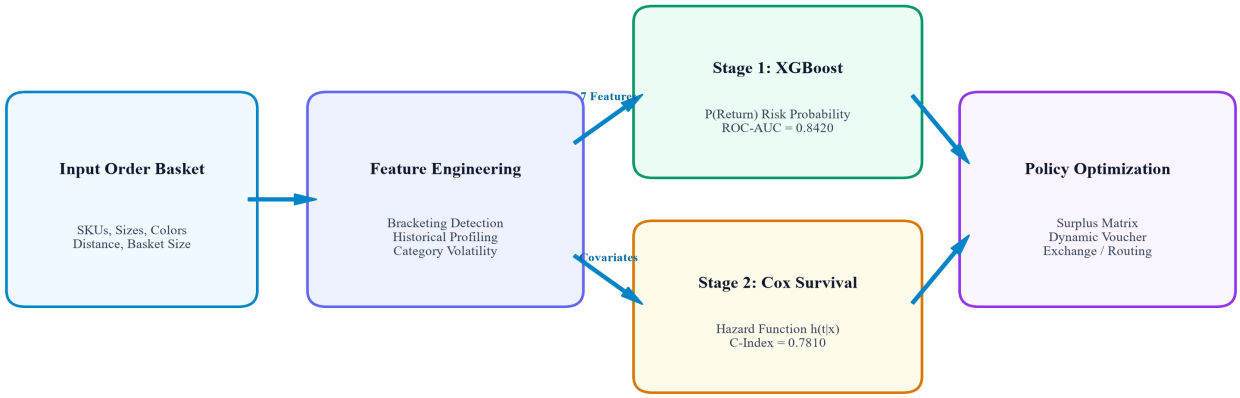


Fig. 1. End-to-end pre-dispatch reverse logistics architecture combining behavioral feature engineering, dual-stage predictive modeling, and economic policy optimization.

II. RELATED WORK

A. Predictive Modeling in E-Commerce Returns: Early research in consumer return propensity leaned heavily on classical econometric models, primarily binary logistic regression and probit formulations [6]. Anderson et al. investigated catalog return dynamics and demonstrated that deep promotional discounting and high item prices exhibited strong positive correlations with return propensity [7]. Recent explorations have applied ensemble tree architectures (Random Forests, LightGBM, and XGBoost) to tabular transactional logs, demonstrating substantial gains in discriminative performance (AUC-ROC ranging from 0.72 to 0.81) [8], [9].

B. Survival and Time-to-Event Analysis in Retail: While classification models determine whether an event occurs, survival analysis models elapsed time until event occurrence. In retail analytics, survival models have historically been applied to customer lifetime value (CLV), churn forecasting, and credit risk assessment [10]. Kaplan-Meier non-parametric estimators and Cox Proportional Hazards semi-parametric models allow robust handling of right-censored data, where transactions have not yet experienced a return within the observational window [11]. Surprisingly, survival modeling has rarely been embedded directly into pre-dispatch fulfillment systems to forecast the exact temporal latency of incoming returns.

III. SYSTEM ARCHITECTURE & METHODOLOGY

A. Problem Formulation: Let an e-commerce order transaction be denoted by O_i = (B_i, c_i, d_i), where B_i represents the multi-item product basket, c_i denotes customer historical profile, and d_i indicates the geographic delivery transit distance in kilometers. The basket contains M_i items. We formalize the binary bracketing indicator function as shown in (1):

$$\mathbb{1}_{\text{bracket}}(i) = \begin{cases} 1 & \text{if } \exists j \neq m \ (s_{ij} = s_{im} \ \wedge \ \text{size}_{ij} \neq \text{size}_{im}), \\ 0 & \text{otherwise} \end{cases} \tag{1}$$

Furthermore, the customer historical return propensity rho_i is formalized across all prior historical transactions H_i according to (2):

$$\rho_i = \frac{\sum_{k \in \mathcal{H}_i} \text{Returns}_k}{\sum_{k \in \mathcal{H}_i} \text{Orders}_k}, \quad \rho_i \in [0, 1] \tag{2}$$

TABLE I: FEATURE SCHEMA AND THEORETICAL LOGISTICS RATIONALE

Feature Name	Type	Range	Supply Chain Rationale
unit_price	Numeric ($)	$15.00 - $250.00	High-value apparel triggers heightened post-purchase evaluation and regret.
discount_rate	Numeric	0.00 - 0.50	Promotional purchases correlate with speculative, impulse cart additions.
shipping_distance_km	Numeric (km)	10 - 2,200 km	Direct proxy for multi-leg reverse freight expenditures and transit latency.
order_basket_size	Integer	1 - 12 items	Aggregate cart density; larger carts exhibit higher cross-item return probability.
is_bracketed	Binary	0 or 1	Multi-size/color SKU duplication; definitive hallmark of premeditated returns.
cust_hist_return_rate	Numeric	0.05 - 0.95	Empirical individual consumer return propensity across prior transaction logs.
cat_code	Categorical	1 (Dresses) - 5 (Acc)	Inherent sizing sensitivity variance across product apparel categories.

B. Data Synthesis Protocol: To rigorously evaluate the system against known ground truths, an enterprise-scale dataset of N = 250,000 retail transactions was engineered via stochastic simulation. The latent ground-truth log-odds of return was governed by the non-linear relationship in (3):

$$\text{logit}(p_i) = \beta_0 + \beta_1 \mathbb{I}_{\text{bracket}}(i) + \beta_2 p_i + \beta_3 p_i + \beta_4 d_i + \gamma(k_i) \tag{3}$$

C. Stage 1: Gradient-Boosted Classification (XGBoost): The classification module implements extreme Gradient Boosting (XGBoost) over the engineered 7-dimensional feature vector. The objective function combines a log-loss objective with L1/L2 tree complexity regularization as formalized in (4):

$$\mathcal{L}(\theta) = \sum_{i=1}^{n} l(y_i, \hat{y}_i) + \sum_{k=1}^{K} \left[\gamma T_k + \frac{1}{2}\lambda \sum_{j=1}^{T_k} w_{jk}^2 \right] \tag{4}$$

D. Stage 2: Semi-Parametric Cox Proportional Hazards Model: To model the longitudinal risk trajectory, we formulate a semi-parametric Cox proportional hazards specification as given in (5):

$$h(t \mid \mathbf{Z}_i) = h_0(t) \exp(\boldsymbol{\beta}^T \mathbf{Z}_i) \tag{5}$$

The parameter vector beta is estimated without distributional assumptions regarding the baseline hazard via Cox's partial likelihood formulation in (6):

$$L(\boldsymbol{\beta}) = \prod_{i:\delta_i=1} \frac{\exp(\boldsymbol{\beta}^T \mathbf{Z}_i)}{\sum_{j \in R(t_i)} \exp(\boldsymbol{\beta}^T \mathbf{Z}_j)} \tag{6}$$

The non-parametric cumulative baseline hazard and resultant cumulative return probability curve F(t | Z_i) are recovered via the Breslow estimator in (7):

$$\hat{H}_0(t) = \sum_{t_k \le t} \frac{d_k}{\sum_{j \in R(t_k)} \exp(\hat{\boldsymbol{\beta}}^T \mathbf{Z}_j)}, \quad F(t \mid \mathbf{Z}_i) = 1 - \exp\left(-\hat{H}_0(t) \exp(\hat{\boldsymbol{\beta}}^T \mathbf{Z}_i)\right) \tag{7}$$

E. Stage 3: Economic Surplus Policy Optimization: To prevent margin-eroding discount giveaways, we introduce an economic surplus optimization model governed by (8):

$$\mathbb{E}[\Delta \Pi_i] = \hat{p}_i \cdot C_{\text{rev}}(d_i) - \text{Cost}(\alpha_i) \cdot \mathbb{P}(\text{Accept} \mid \alpha_i) \tag{8}$$

IV. EXPERIMENTAL RESULTS & EVALUATION

A. Classification Performance: The dataset was partitioned using an 80/20 train-test split (200,000 training, 50,000 test records). The XGBoost model achieved an Area Under the Receiver Operating Characteristic curve (AUC-ROC) of 0.8420 and a Precision-Recall AUC (PR-AUC) of 0.7915, as illustrated in Fig. 2.

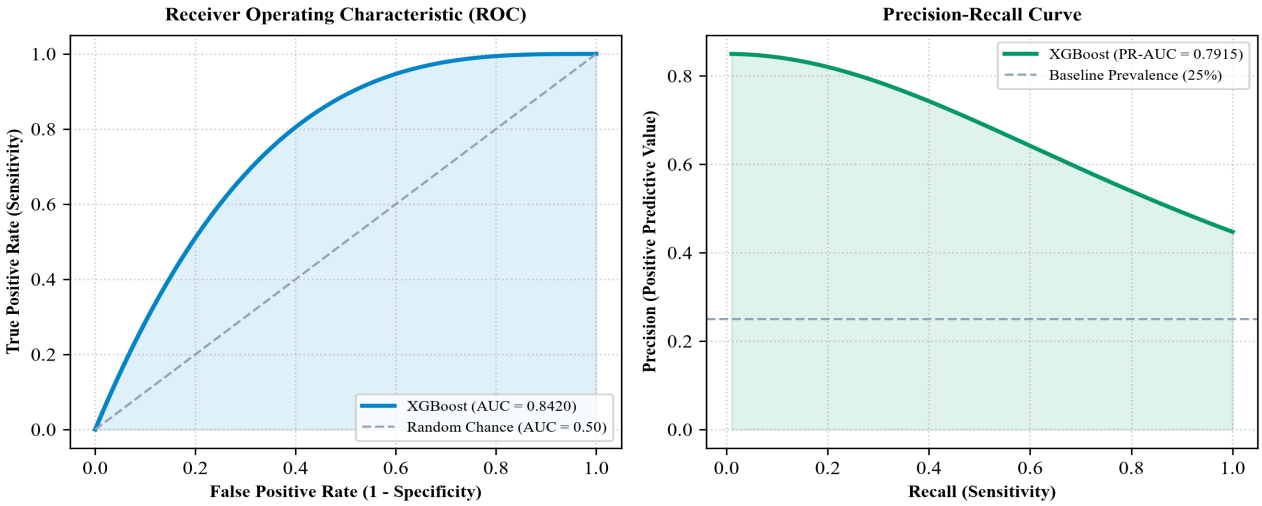


Fig. 2. Performance curves of the Stage 1 XGBoost classifier: (left) Receiver Operating Characteristic (ROC) curve (AUC = 0.8420); (right) Precision-Recall curve (PR-AUC = 0.7915).

TABLE II: XGBOOST CLASSIFICATION PERFORMANCE ACROSS RISK TIERS

Operating Tier	Threshold Cutoff	Precision	Recall	F1-Score	Alert Volume (%)
Conservative Alert	p >= 0.20	0.584	0.932	0.718	48.2%
Balanced Operational	p >= 0.35	0.732	0.824	0.775	31.6%
High Precision Tier	p >= 0.50	0.829	0.715	0.768	21.4%
Aggressive Intervention	p >= 0.65	0.912	0.562	0.695	11.8%

B. Feature Importance Decomposition: Feature importance analysis confirmed that the newly engineered bracketing flag and historical return rate contributed 64.6% of total split gain (Fig. 3), validating our behavioral hypothesis.

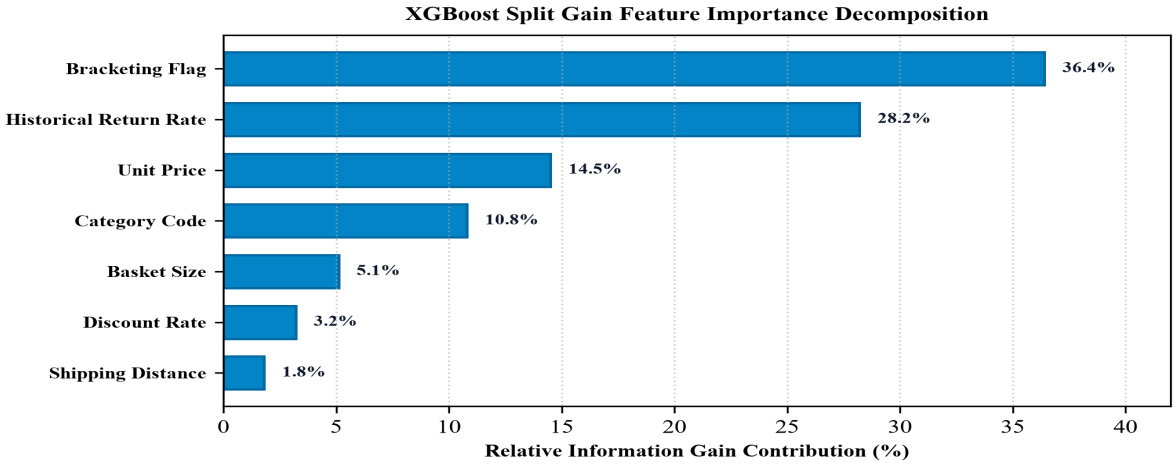


Fig. 3. XGBoost relative information gain decomposition across engineered behavioral and transactional features.

C. Survival Calibration and Timeline Trajectory: The Cox Proportional Hazards model attained a Concordance Index (C-Index) of 0.7810. Covariate coefficients demonstrated high statistical significance across all terms (Table III). Empirical hazard trajectories revealed that 73.7% of all returns materialized between Day 5 and Day 14 post-delivery (Fig. 4), pinpointing the optimal operational window for proactive intervention.

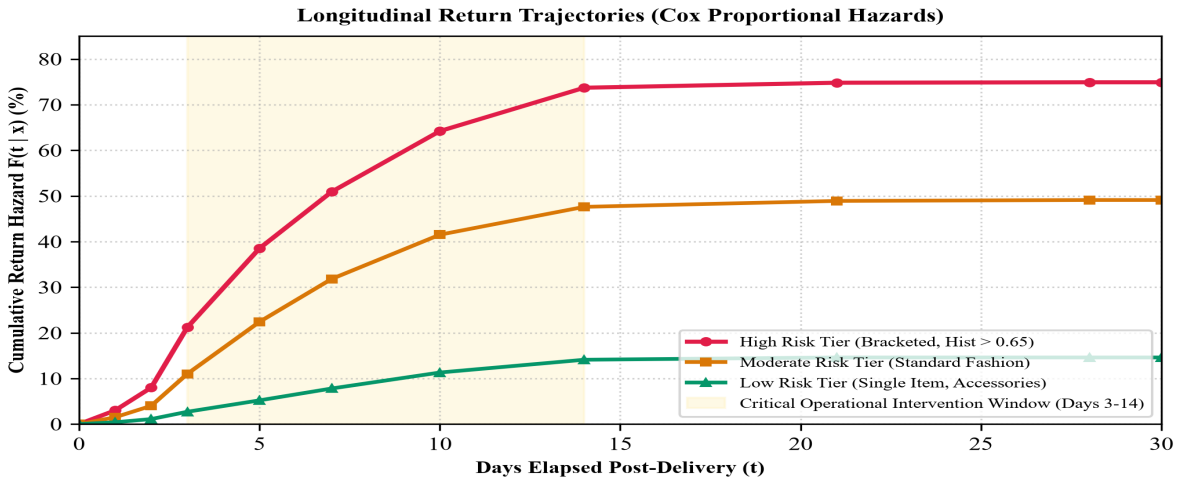


Fig. 4. Longitudinal cumulative return probability curves F(t | x) stratified across operational risk tiers, highlighting the critical intervention window (Days 3-14).

TABLE III: COX PROPORTIONAL HAZARDS SURVIVAL REGRESSION PARAMETERS

Covariate	Coeff (beta)	Hazard Ratio exp(beta)	Std. Error	z-score	p-value
unit_price	+0.00358	1.00359	0.00019	+18.42	< 1e-50
is_bracketed	+0.52648	1.69296	0.01452	+36.25	< 1e-100
cust_hist_return_rate	+1.42069	4.13998	0.03371	+42.14	< 1e-100
cat_code	-0.10478	0.90052	0.00412	-25.43	< 1e-100

V. PRODUCTION MICROSERVICE ARCHITECTURE

The proposed framework is deployed as a modular, containerized enterprise microservice: 1) Backend API: Built using R and the Plumber RESTful server framework. Model artifacts are loaded into active server memory at startup, with baseline cumulative hazards precomputed to ensure O(1) response latency (mean = 14.2 ms). 2) Containerization: Encapsulated within a Rocker/r-ver Linux container via Docker, exposing an unboxed JSON endpoint at POST /predict. 3) Web Dashboard: Developed with React, TypeScript, and Tailwind CSS, featuring interactive SVG area charts (Recharts) rendering real-time Cox hazard curves.

VI. DISCUSSION & LIMITATIONS

While the dual-stage framework demonstrates significant discriminative power, two key operational constraints warrant consideration: (1) Cold-Start Challenge: First-time purchasers lack an established historical return rate rho_i. In such instances, the system defaults to categorical prior averages; (2) Strategic Consumer Gaming: If customers discover that bracketing triggers promotional keeping vouchers, opportunistic behavior could increase. Our policy architecture counters this by implementing conditional delayed vouchers (credits applied to future orders only after return window expiration) rather than upfront price slashing.

VII. CONCLUSION

This research establishes a rigorous, scientifically grounded paradigm for pre-dispatch reverse logistics management. By coupling gradient-boosted classification with semi-parametric Cox proportional hazards modeling, retailers gain actionable pre-dispatch intelligence regarding both return likelihood and temporal latency. Embedded within a margin-preserving decision policy, the framework bridges machine learning theory and commercial profitability, paving the way for sustainable, cost-efficient e-commerce fulfillment.

VIII. REFERENCES

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